over $4 trillion (purchasing power parity), making the Indian economy the sixth largest in the world.[34] Indian GDP growth, no longer stuck at the “Hindu” rate of roughly 3 percent, jumped from 5.6 percent to 8.4 percent between 1990 and 2005, and reached 9 percent in 2007. Despite the global economic downturn, Indian growth is expected to continue at 4.8 to 5.5 percent from 2009 to 2010. India has also become a major player in the information technology sector and an important international source of skilled labor. Its rapidly growing middle class offers a potentially vast market for foreign imports. Indo-U.S. trade has skyrocketed from approximately $4.5 billion in 1988 to roughly $27 billion in 2005.[35]

Increased prosperity resulting from recent growth has led to rising economic aspirations on the part of the Indian electorate. Indians increasingly expect, as Raj Chengappa puts it, “better jobs, the American dream.” And Indian leaders realize that continued growth is necessary if India is to make further progress in combating poverty, improving living conditions, and improving its international stature. Indeed, according to some estimates, at a growth rate of 8 percent per year, India can bring its poverty rate into the single digits within two decades.[36] Economic growth has become India’s main national priority.[37]

However, despite recent improvements, India faces significant economic challenges that could undermine future growth. For example, massive inequality, which has long plagued Indian society, continues unabated. Paradoxically, Indian economic growth has exacerbated the phenomenon. As the World Bank points out, “In a marked departure from previous decades, reforms of the 1990s were accompanied by a visible increase in income inequality.”[38] Perhaps the most glaring example of this problem is the growing urban-rural divide. India’s economic boom has primarily benefited its cities, leaving out much of the countryside, which is home to roughly 70 percent of its population. In fact, approximately half of rural India has yet to access the electric power grid.[39] According to the Indian government, more than 20 percent of the population lives in poverty. And 46 percent of Indian children are malnourished, versus 35 percent in sub-Saharan Africa and just 8 percent in China.[40] Such severe inequality could lead not just to lagging growth but also to